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Elkstone Capital

The Bend Apartments



2024-Build Class A Multifamily · Acquiring at a Discount · Louisville, KY MSA

312 Units · Clarksville, Indiana · $16.8M Offering · 17.08% Projected LP IRR

1909 Greentree Blvd, Clarksville, IN 47129

The Opportunity

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17.08% LP IRR (Projected)	**2.06x** LP Equity Multiple
8.19% Avg. Cash-on-Cash	**8.0%** LP Preferred Return
$16.8M Offering Size	**$100,000** Min. Investment
6.36% Entry Cap Rate (Tax Adjusted)	**10%** GP Co-Invest

5 Year
Hold Period







An Investment Opportunity Backed by In-Market Scale and Below-Replacement-Cost Acquisition.

- Prime Acquisition Basis: Acquiring a brand-new, 312-unit Class A multifamily asset in Clarksville, Indiana, located 8 miles (a 10-minute drive) from downtown Louisville. The entry basis represents a 24.1% discount to estimated current replacement cost.
- Day-One Performance: The property is 95% occupied and cash-flowing on day one; requiring no renovation program, lease-up risk, or operational repositioning. NOI was up 4% from June to July and continues to improve at the property.
- Established Local Platform: Managed as part of Focused and Elkstone Capital's established submarket platform alongside Gateway Crossing and Heritage Square (340+ nearby units), providing immediate operational and staffing efficiencies.
- Contractual Tax Advantage: The property benefits from a secured $475,000/year reduction in its property tax bill, contractually guaranteed through 2040. Every dollar saved flows directly to NOI and investor distributions.

Property Overview

Unit Mix Summary

Unit Type	# Units	% of Total	Avg. SF	In-Place Rent	Market Rent	Gap
1BR / 1BA (660 SF)	84	27%	660	$1,182	$1,295	+$113
2BR / 2BA (1,005 SF)	222	71%	1,005	$1,345	$1,500	+$155
3BR / 2BA (1,300 SF)	6	2%	1,300	$1,900	$1,900	—
Total / Avg.	312	100%	918	$1,312	$1,453	+$141

Property Features

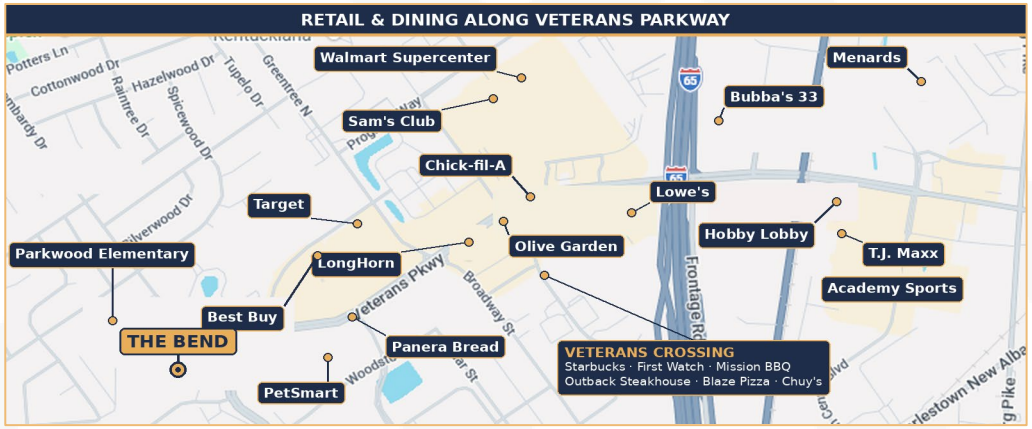
- Resort-style pool, premium fitness center, and clubhouse
- Modern open-concept floor plans; private balconies on all units
- Full appliance package; in-unit washer/dryer
- Pet-friendly community with on-site maintenance
- Adjacent to high-growth River Ridge Commerce Center employment hub
- Veteran's Crossing provides 20+ national retailers and restaurants within one walkable mile; anchored by Walmart, Target, and Sam's Club
- 10 minutes to downtown Louisville via Ohio River bridges; convenient to I-65 corridor











Business Plan

This plan outlines a strategic asset management approach for a newly constructed, stabilized asset. By leveraging our established 340+ unit submarket footprint and implementing targeted revenue-enhancing programs, we will drive consistent NOI growth and protect investor returns over our 5-year hold period.

In-Market Operating Scale

Leverage shared staffing, management, and maintenance teams across nearby Gateway Crossing and Heritage Square to compress overhead on day one.

Lease Management

Maximize renewal rates and optimize pricing on new leases as local supply constrains and demand tightens.

Utility Cost Recovery

Optimize and fully implement the RUBS (Ratio Utility Billing System) program to efficiently recover resident utility expenses (water/sewer/trash).

Bulk Internet Rollout

Fully penetrate high-speed bulk internet across 100% of units, creating a premium tenant amenity and a high-margin revenue stream.

Ancillary Income Programs

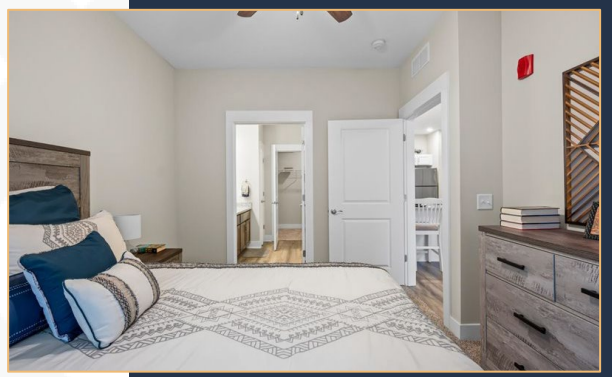
Roll out optional resident services, streamlined renter's insurance requirements, and optimized operational fees.

Tax Savings Optimization

Leverage the contractual $475,000/year property tax incentive through 2040, providing a direct, structural boost to NOI. Additionally, we currently anticipate a year 1 depreciation deduction of ~80%.







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Our Local Presence

The Bend is Focused Capital's third acquisition and Elkstone Capital's second acquisition within the Louisville MSA submarket. We do not enter markets, we build platforms. Gateway Crossing and Heritage Square are active, performing assets that validate our submarket thesis every single day.

The Bend sits within a 15-minute drive of downtown Louisville and River Ridge Commerce Center, and within 10 minutes of Focused Capital's two other active assets in the submarket — Heritage Square in Sellersburg and Gateway Crossing in Clarksville. The geographic concentration of our Louisville MSA platform is both a competitive advantage and a demonstration of conviction in this submarket.

Gateway Crossing



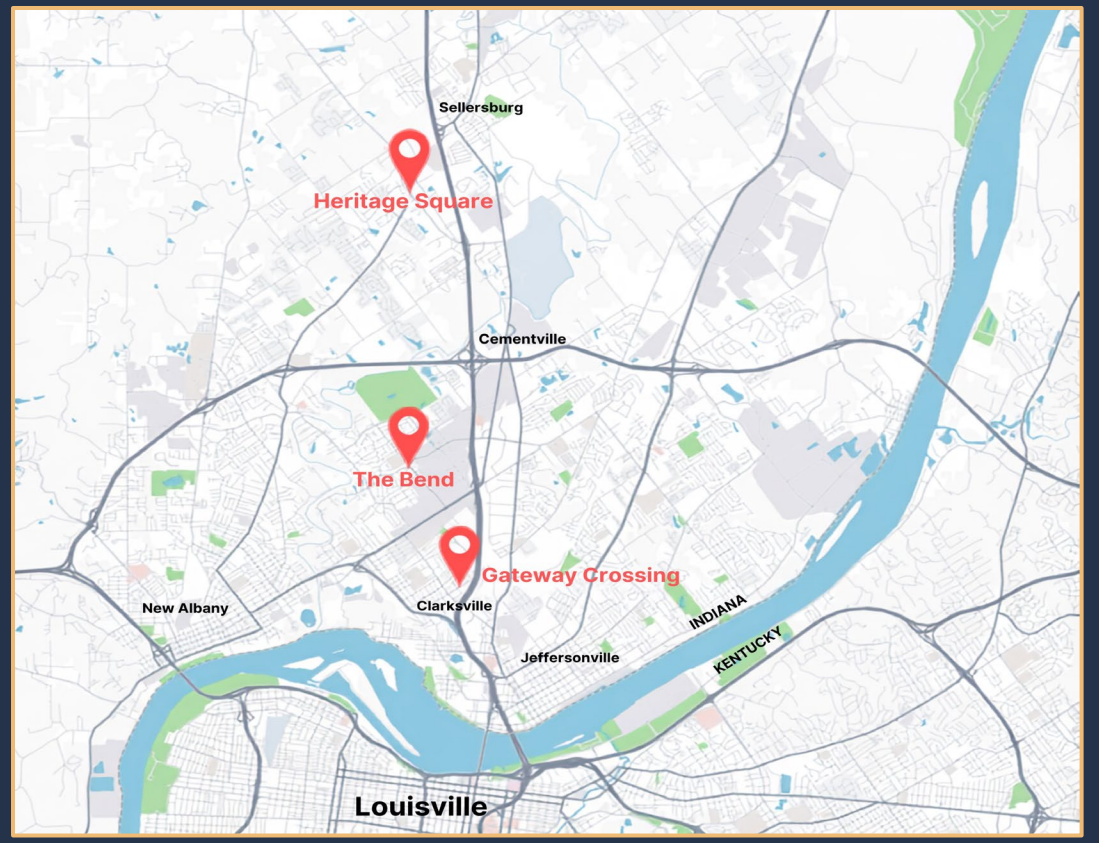
- Acquired: October 2025
- Status: Performing
- First Distribution: Q4 2025
- Projected IRR: 15%+
- Revenue: increased 21.50% from $2,171,427 to $2,638,210

Heritage Square



- Acquired: May 2025
- Status: Performing
- First Distribution: Q2 2025
- Projected IRR: 15%+
- Revenue: increased 15.09% from $2,558,964 to $2,945,214

Both properties have successfully reduced lease concessions, increased rental rates, and achieved record-high occupancy.



Projected Returns

Projected Returns *5-YEAR HOLD — 5.60% EXIT CAP*			Projected Returns *Net to Investors*	
Average Annual Return	Avg. Cash-on-Cash Return	LP Preferred Return	Internal Rate of Return (IRR)	LP Equity Multiple
21.22%	8.19%	8.0%	17.08%	2.06x

Total LP Contribution	$16,803,142
Hold Period	5 years
LP Investment	$100,000
% of Ownership	.59513%
Total Cash Returned	$206,083

Sample Investment Return — $100,000 Commitment						
	Yr 0	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
LP Investment	($100,000)					
Distributions		$6,201	$6,355	$8,280	$8,998	$11,114
Net Cash Flow	($100,000)	$6,201	$6,355	$8,280	$8,998	$176,248
Cash-on-Cash Return		6.2%	6.4%	8.3%	9.0%	176.2%

Net returns reflect LP economics after preferred return, GP promote, asset management fees, and disposition fee. All projections based on a 5-year hold and 5.60% exit cap rate. Returns structured as: 8% LP preferred return → 80/20 LP/GP split thereafter.

Why The Bend

A supply-constrained, job-growth-driven market where we already operate.

Exceptional Acquisition Basis

- Below Market & Replacement Cost: Acquired at $167k/unit, representing a major discount to estimated current replacement cost (~$220k/unit) and trading well below local Class A sales comparables (~$190k–$200k/unit).
- Existing operational scale: Leverages Focused and Elkstone Capital's established footprint of 340+ units operated within 10 minutes of the property, providing immediate platform economies of scale.

Job Growth & Economic Engine

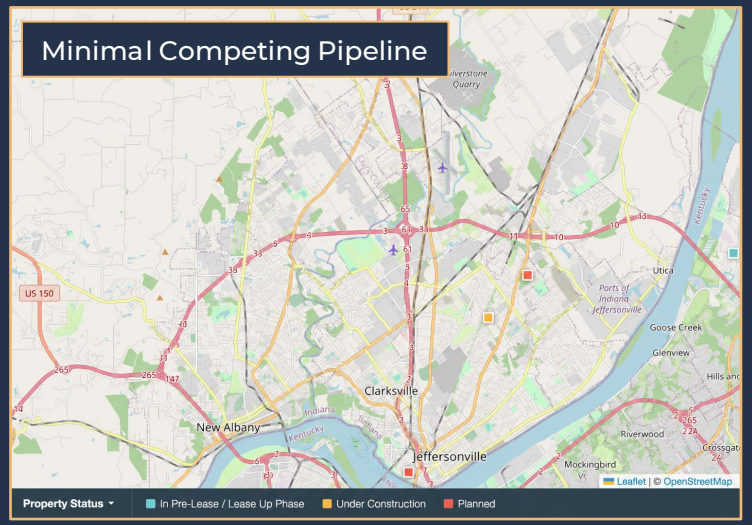
- River Ridge Commerce Center: Located 15 minutes away—a 6,000-acre industrial park with over 20M sq ft developed, supporting 70+ major companies (Amazon, Meta, GE) and 21,000+ direct jobs.
- The Indiana Cost Advantage: Clarksville renters access downtown Louisville's employment base (10 minutes away) while benefiting from Southern Indiana's lower property taxes, lower cost of living, and lack of Kentucky income tax.

Favorable Supply & Demand Imbalance

- Pipeline Dry-Up: Local multifamily construction starts fell 69% year-over-year, driving 2025 deliveries down to roughly 1,290 units, the lowest level in eight years (MMG Real Estate Advisors).
- Accelerating Demand: Net absorption in the Louisville MSA reached approximately 2,250 units over the past year, roughly 60% above the pre-pandemic average (MMG).



River Ridge Commerce Center
6,000-Acre Employment Hub



One project under construction across the submarket; planned projects are speculative and face today's prohibitive construction costs.

Major Employers & Economic Engine

Economic Strengths

- Clark County unemployment sits at a low 3.6% (May 2026, BLS), reflecting one of the tightest labor markets in the region.
- Local multifamily vacancy is exceptionally tight at ~4.3%, far outperforming the national average (Marcus & Millichap).
- Persistent job growth from major regional employers ensures rapid absorption of existing inventory

Tariffs Stunt New Supply

- Tariffs of 50% on steel and aluminum and 10-25% on lumber products have pushed construction material costs up 6% or more, with input prices rising at the fastest pace since 2022 (Cushman & Wakefield).
- Multifamily construction costs are up over 30% in five years, straining budgets for new Class A development (ULI).
- Elevated financing and material costs have severely restricted the future construction pipeline.

Migration to Indiana

- Lower property taxes make Southern Indiana a highly attractive alternative to Kentucky.
- More affordable living and housing costs keep residents nearby while maintaining a 10-minute commute to Louisville.
- Accelerating net migration continues to drive local rental demand and tighten submarket occupancy.

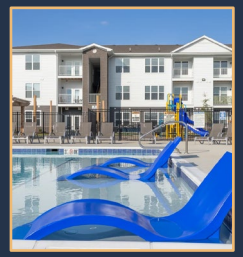


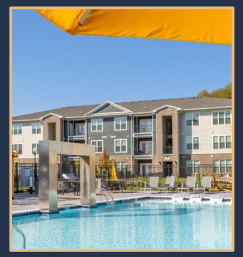
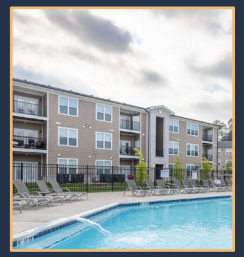
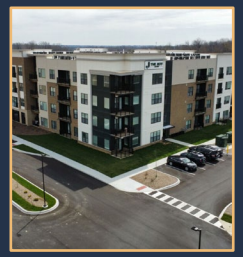
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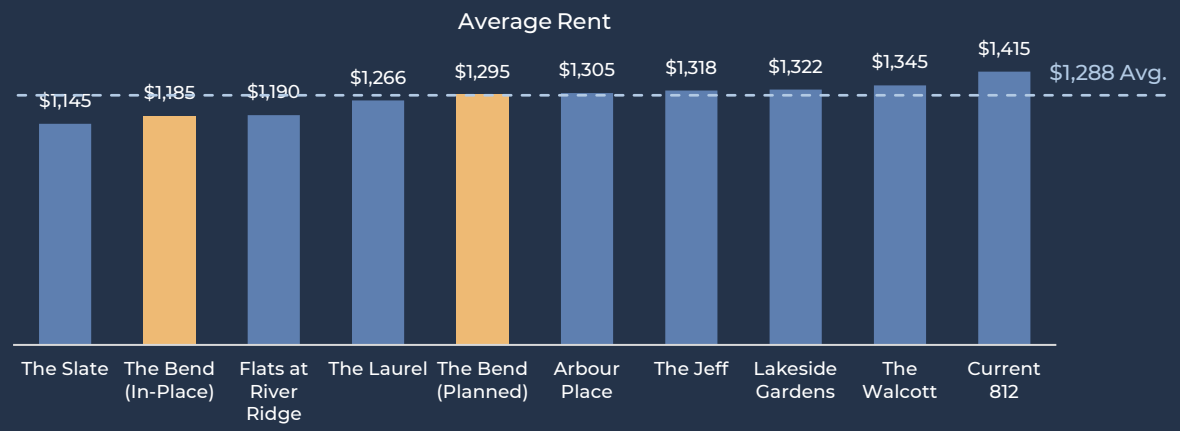
1 Bedroom Rent Comps

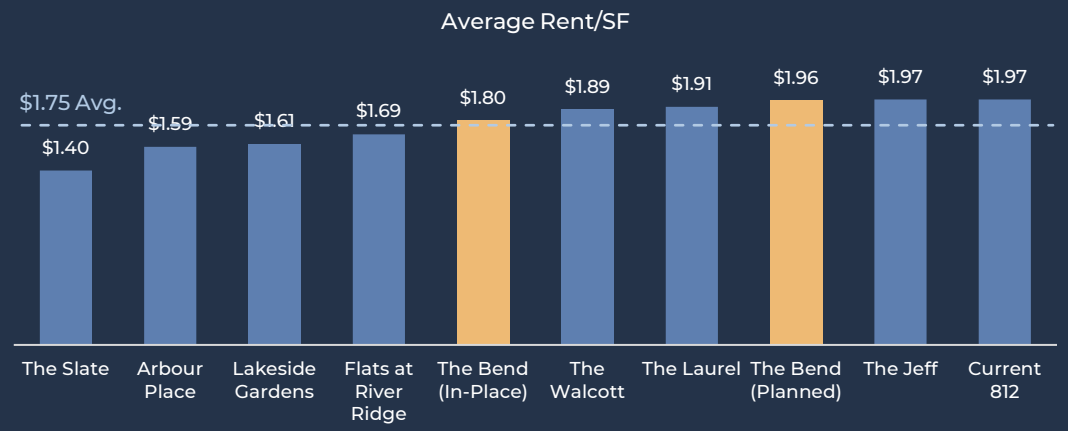



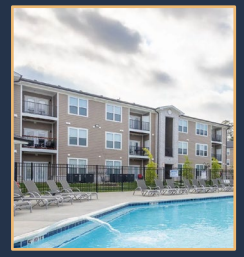
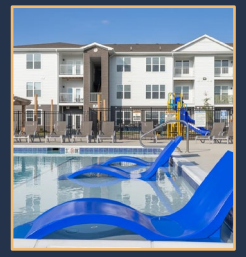


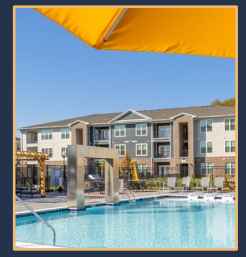
	The Bend	The Slate	Flats River Ridge	The Laurel	Arbour Place	Lakeside Gardens	The Jeff	The Walcott	Current 812
Year Built	2024	2022	2024	2024	2024	2022	2023	2020	2023
Total Units	312	264	200	186	256	360	190	215	200
Est. Occupancy	95%	95%	90%	92%	90%	86%	93%	91%	N/A
Avg. Unit Size	660 SF	819 SF	707 SF	671 SF	819 SF	819 SF	671 SF	718 SF	717 SF
Avg. 1BR Rent	$1,185	$1,145	$1,190	$1,266	$1,305	$1,322	$1,318	$1,345	$1,415
Avg. 1BR Rent PSF	$1.80	$1.40	$1.69	$1.91	$1.59	$1.61	$1.97	$1.89	$1.97





2 Bedroom Rent Comps

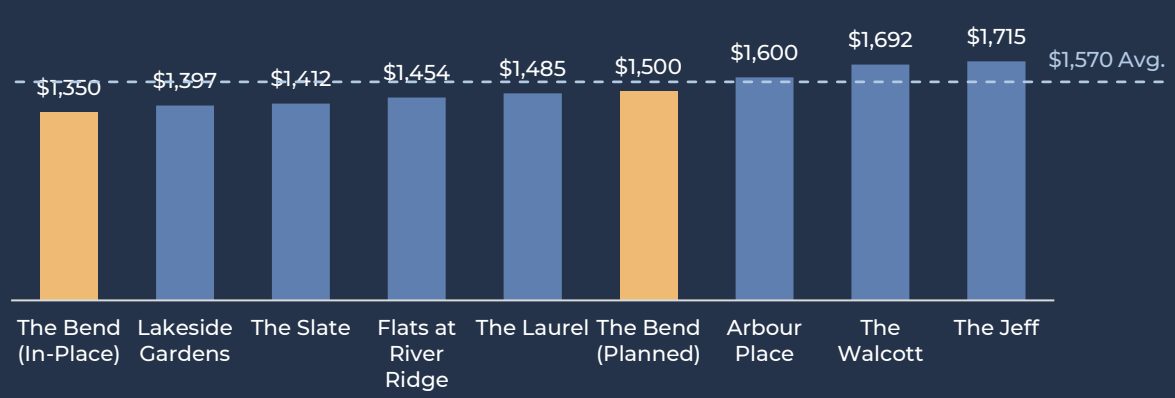




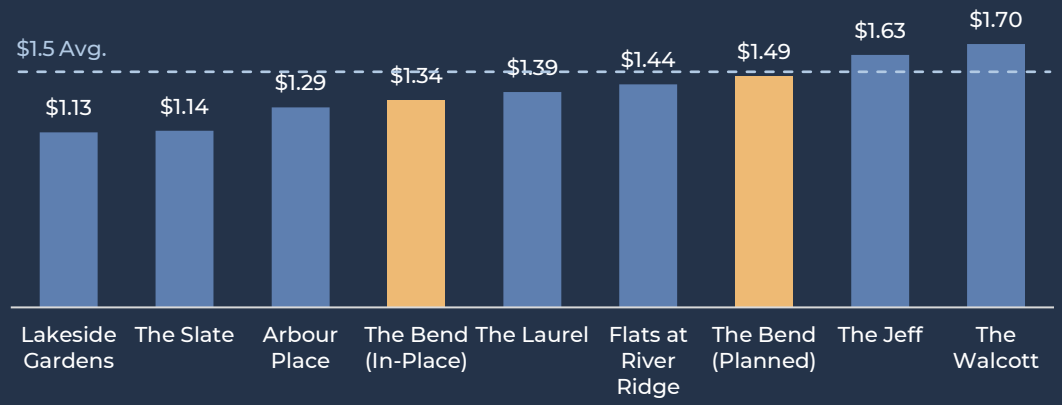


	The Bend	Lakeside Gardens	The Slate	Flats at River Ridge	The Laurel	Arbour Place	The Walcott	The Jeff
Year Built	2024	2022	2022	2024	2024	2024	2020	2023
Total Units	312	360	264	200	186	256	215	190
Est. Occupancy	95%	86%	95%	90%	92%	90%	91%	93%
Avg. Unit Size	918 SF	1,238 SF	1,243 SF	1,009 SF	1,070 SF	1,243 SF	992 SF	1,054 SF
Avg. 2BR Rent	$1,350	$1,397	$1,412	$1,454	$1,485	$1,600	$1,692	$1,715
Avg. 2BR Rent PSF	$1.34	$1.13	$1.14	$1.44	$1.39	$1.29	$1.70	$1.63

Average Rent



Average Rent/SF

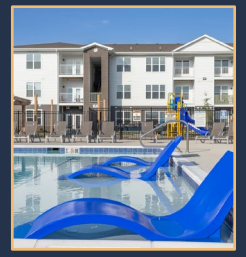


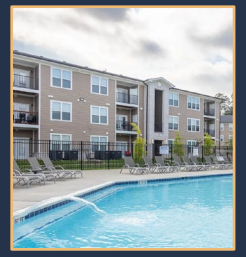
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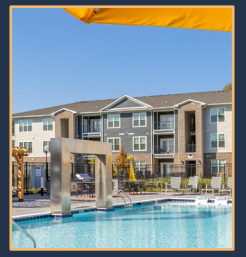
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3 Bedroom Rent Comps

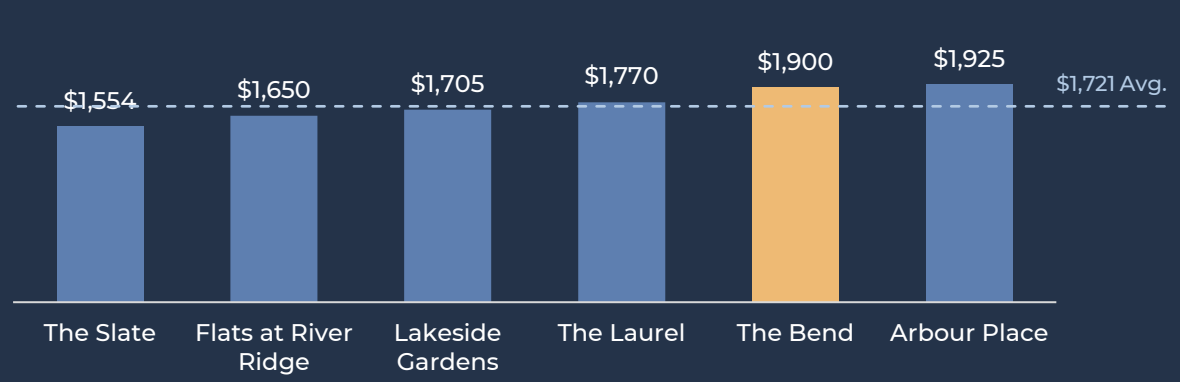




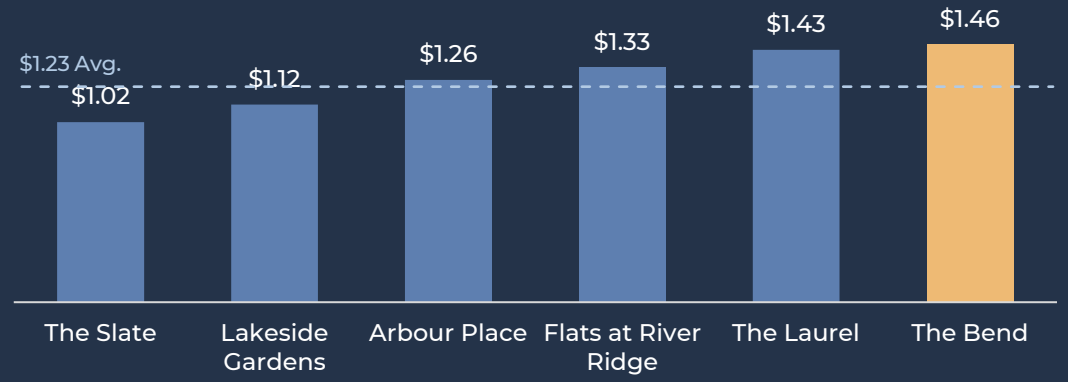



	The Slate	Flats at River Ridge	Lakeside Gardens	The Laurel	The Bend	Arbour Place
Year Built	2022	2024	2022	2024	2024	2024
Total Units	264	200	360	186	312	256
Est. Occupancy	95%	90%	86%	92%	95%	90%
Avg. Unit Size	1,525 SF	1,240 SF	1,518 SF	1,240 SF	1,300 SF	1,525 SF
Avg. 3BR Rent	$1,554	$1,650	$1,705	$1,770	$1,900	$1,925
Avg. 3BR Rent PSF	$1.02	$1.33	$1.12	$1.43	$1.46	$1.26

Average Rent

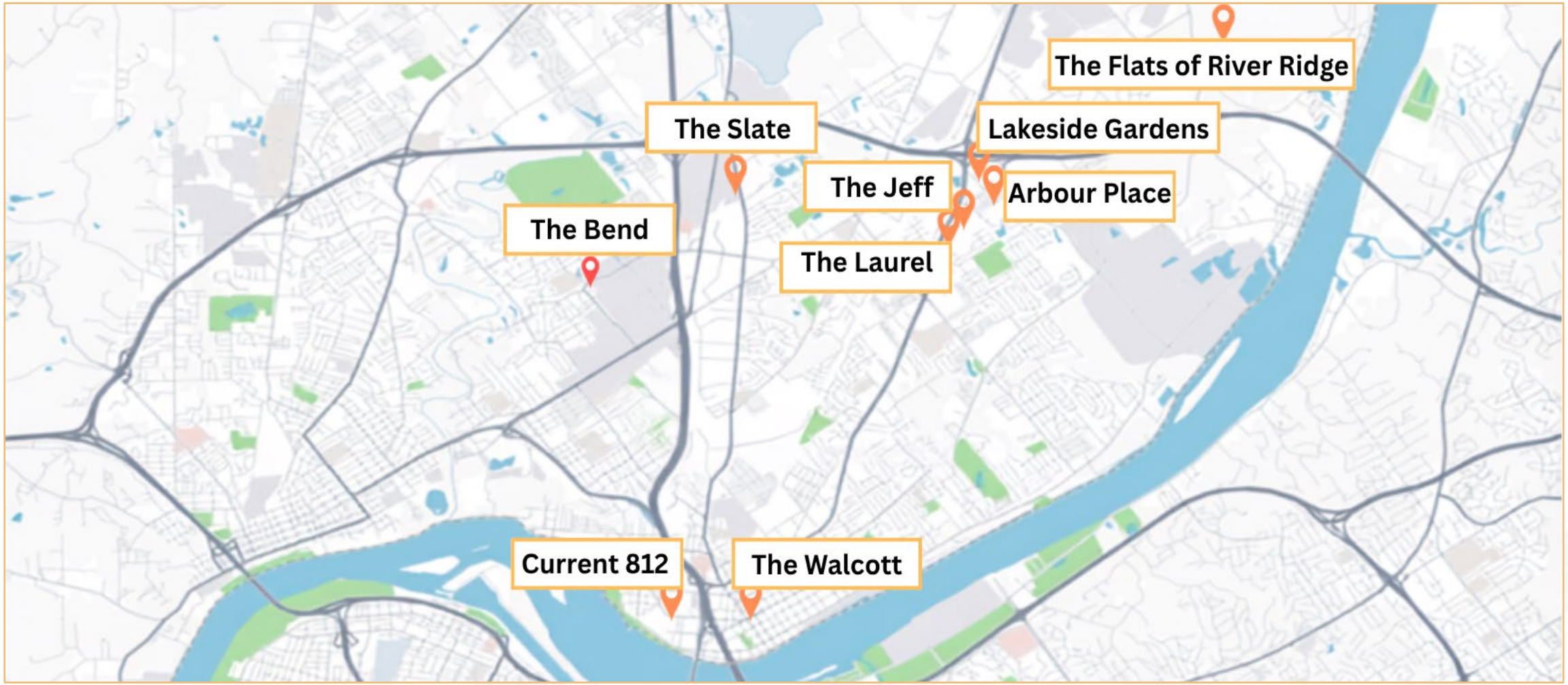


Average Rent/SF



Rent Comparables Map

The following comparable set represents active conventional multifamily communities within the Louisville MSA / Southern Indiana submarket. The Bend is highlighted. Comp analysis confirms that current in-place rents at The Bend represent a moderate discount to true market, with meaningful upside achievable through professional management and organic market rent growth — without requiring any renovation or repositioning.



Sources, Uses & Assumptions

Sources & Uses

	% of Total	$	$/Unit
SOURCES			
Senior Loan	69.9%	$39,000,000	$125,000
LP Equity	30.1%	$16,803,142	$53,856.22
TOTAL SOURCES	100%	$55,803,142	$178,856.22
USES			
Acquisition Price	93.2%	$52,000,000	$166,666.67
Closing Costs	4.3%	$2,405,000	$7,708.33
Renovation / CapEx	0.6%	$350,000	$1,121.79
Operating Reserves	0.5%	$268,142	$859.43
Acquisition Fee (1.5%)	1.4%	$780,000	$2,500
TOTAL USES	100%	$55,803,142	$176,856.22

Debt Structure

Item	Detail
Loan Structure	Senior Loan — $39,000,000
LTV (Loan-to-Value)	75%
LTC (Loan-to-Cost)	~66.3%
Interest Rate	5.84%
Interest-Only Period	60 months
Amortization	30 years
DSCR (Year 1 Proforma)	1.33x

Operating Expenses

Expense Line	$/Unit/Year	Basis
Payroll	$1,100	Shared staffing with existing Louisville MSA assets
Taxes	$2,083	Full tax ~$475k/yr savings applied
Repairs & Maintenance	$400	Brand-new construction; minimal maintenance
Contract Services	$780	Landscaping, janitorial, pest control
Management Fee	3.5% of EGI	Third-party professional management
Insurance	$425	Indiana market rate
Make Ready	$250	Standard turnover allowance
Advertising & Marketing	$315	ILS listings, digital marketing
G&A	$255	Administrative and compliance
Utilities	$687	Common area only; individually billed
CapEx Reserves	$250	Lender-required annual reserve
Total Op. Expenses	$7,125/unit/year	**Basis**

Fee Structure

Fee	Rate
Acquisition Fee	1.5% of Purchase Price
Asset Management Fee	2.0% of Effective Gross Income
Disposition Fee	1.00%
Loan Fee	0.60%

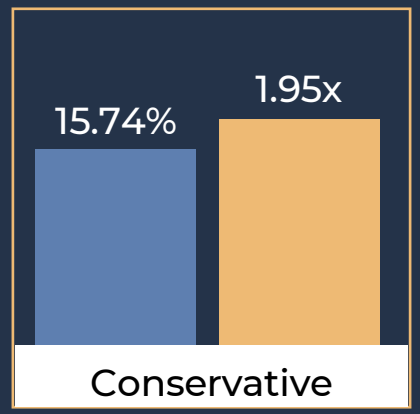
Proforma

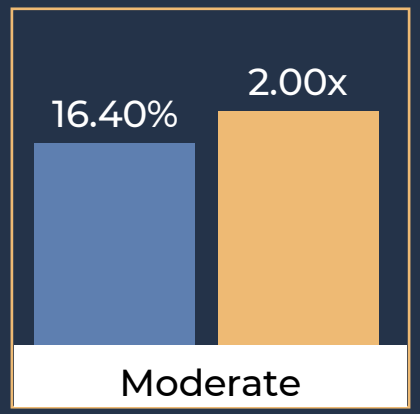
INCOME	T-3	$/Unit	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Potential Rent (GPR)	$4,997,880	$16,019	$5,018,837	$5,391,385	$5,707,496	$5,907,259	$6,114,013
- General Vacancy	-$368,287	-$1,180	-$486,414	-$544,140	-$458,409	-$474,158	-$350,322
- Concessions	-$256,105	-$821	-$50,188	-$53,914	-$57,075	-$59,073	-$30,570
- Bad Debt	-$32,428	-$104	-$50,188	-$53,914	-$57,075	-$59,073	-$30,570
- Loss-to-Lease	-$86,946	-$279	-$53,751	-$107,828	-$114,150	-$118,145	-$122,280
Total Rental Revenue	$4,254,114	$13,635	$4,378,296	$4,631,589	$5,020,788	$5,196,810	$5,580,270
Utility Reimbursement (RUBS)	$172,239	$552	$192,910	$198,697	$204,658	$210,798	$217,121
Other Income	$562,458	$1,803	$600,000	$618,000	$636,540	$655,636	$675,305
Total Other Income	$734,697	$2,355	$792,910	$816,697	$841,198	$866,434	$892,427
Effective Gross Income (EGI)	$4,988,811	$15,990	$5,171,205	$5,448,286	$5,861,986	$6,063,243	$6,472,697
Total Operating Expenses	$2,154,623	$6,906	$2,145,136	$2,389,258	$2,469,695	$2,544,675	$2,628,979
Net Operating Income (NOI)	$2,834,188	$9,084	$3,026,069	$3,059,028	$3,392,291	$3,518,569	$3,843,718

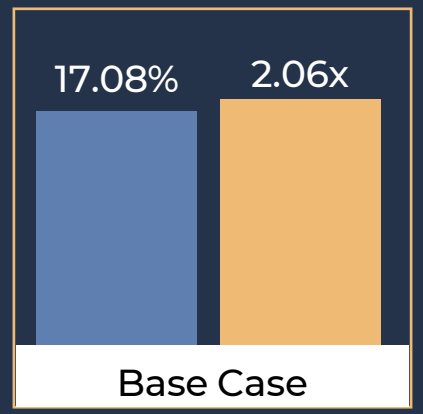
Sensitivity Analysis

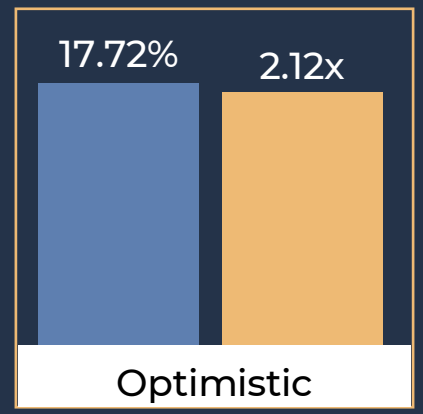
The following analysis presents LP IRR outcomes across a range of exit capitalization rate assumptions, holding all other variables (rent growth, expense growth, vacancy) constant at base case. The base case assumes a 5.60% exit cap rate, consistent with current transactional activity for comparable 2024-vintage Class A multifamily in the Louisville MSA / Southern Indiana submarket.

Scenario	Exit Cap Rate	LP IRR	LP Equity Multiple	Probability
Optimistic	5.50%	17.72%	2.12x	20%
Base Case	5.60%	17.06%	2.06x	60%
Moderate	5.70%	16.40%	2.00x	15%
Conservative	5.80%	15.74%	1.95x	5%









IRR probability weights are management's assessment of relative scenario likelihood given current market conditions. The base case at 5.60% exit cap produces a 17.08% LP IRR and 2.06x equity multiple.

Track Record

Our Mission

To create and preserve wealth for our investors by acquiring and managing high-quality multifamily real estate assets, combining market expertise with a commitment to integrity and results.

Full-Cycle Realized Returns

Property	Location	Realized IRR	Equity Multiple	Exit Date
Dickson Road	Indianapolis, IN	17.90%	2.00x	Aug. 2022
Wedgewood Commons	Columbus, IN	93.09%	3.03x	Dec. 2023
Sugar Hill Apartments	Crawfordsville, IN	18.28%	1.32x	Dec. 2023
Walnut Manor Apts	Kokomo, IN	47.46%	2.03x	July 2025
Average	-	44.18%	2.10x	-

Current Portfolio

Property	Location	Strategy	Proj. IRR	Status
Bloomington Collection	Bloomington, IN	Value Add	17.8%	Acquired
Gateway Crossing	Clarksville, IN	Core+	15%	Performing
Heritage Square	Sellersburg, IN	Core+	15%+	Performing
District South	Fishers, IN	Development	19%+	Stabilizing
Autumn Trace	Kokomo, IN	Value Add	16.5%+	Executing Refi
Elston Point	Lafayette, IN	Value Add	15.5%+	Targeting Capital Event
Melrose Place	Lebanon, IN	Value Add	15%+	Exit In-Progress
Atlas Apartments	Richmond, IN	Value Add	16%+	Performing
Quebec St Apartments	Denver, CO	Conversion	20%+	Under-Construction
Studios at Channelview	Houston, TX	Conversion	20%+	Stabilizing
Easton Apartments	Nashville, TN	Value Add	12%+	Stabilizing
Idaho Smart Storage	Burley, ID	Development	12% (Unlevered)	Performing

About Focused and Elkstone Capital

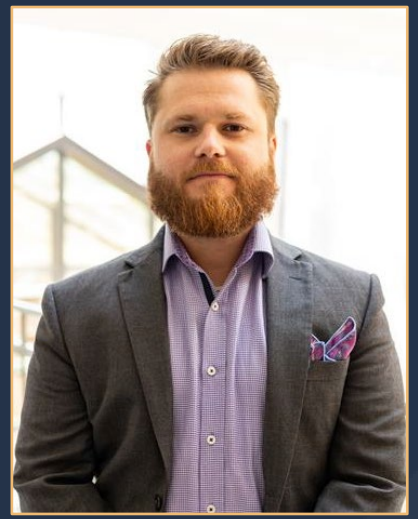
Register Investment

This is Focused and Elkstone Capital's second Co-GP deal together. We've proven that we work well together over the 15 months, putting under contract and closing Gateway Crossing (160 units just 5 minutes from Bend) and managing the asset together on a weekly basis. Our mission is to build long-term wealth through a patient and conservative approach to multifamily real estate private equity investing. Our priority is capital preservation; delivering steady, risk-adjusted returns with a focus on consistent cash flow. Our value-add strategy enhances property value and maximizes returns while maintaining a diversified portfolio across various markets to mitigate risk. With a strong emphasis on key metrics including Internal Rate of Return, Yield on Cost, and Equity Multiple, we aim for superior performance that aligns with our investors' goals. We target strong multifamily markets within a three-hour radius of Indianapolis — acquiring assets in the 20M–50M+ range, 100+ units, 1980s vintage and newer, across value-add, development, and Core+ strategies with a 5–7-year hold period.

Team



Chad Schieler
Founder & Principal



Chad Olsen
VP of Investments



Andy Kropp
Director of Asset Management



Mitchell Rice
Founder & Principal



Curtis Bedke
Investor Relations

Risk Considerations

The Risk Premium is a Mechanism — Not an Obstacle

We approach risk disclosure as a discipline, not a formality. The following factors create the pricing environment that makes a 2024-build Class A asset available at a 24.1% discount to replacement cost. Understanding each risk, and how it is operationally mitigated, is central to the investment thesis.

Risk Factor	Our Risk Mitigation
Recent Supply Wave & Lease-Up Competition (MEDIUM | occupancy pressure risk)	The Bend is already 95% occupied and stabilized, unlike nearby lease-up assets. Local construction starts fell 69% year over year, driving 2025 deliveries to an eight-year low (MMG), meaning the competitive wave is behind the asset, not ahead of it. Proforma vacancy is modeled conservatively against current in-place performance.
Exit Cap Rate Expansion (MEDIUM | valuation risk)	Base case assumes a 5.60% exit cap, consistent with current transactional activity for comparable 2024-vintage Class A product. Sensitivity analysis shows the deal delivers a 15.74% LP IRR even at a 5.80% exit cap. Five years of contractual tax savings and NOI growth provide cushion against equity multiple compression.
Tax Incentive Dependency (MEDIUM | underwriting risk)	The $475,000/year property tax reimbursement is contractually secured through 2040, extending well beyond the 5-year hold and transferable to a future buyer, making it an asset at exit rather than an expiring benefit. Underwriting applies full taxes with savings modeled explicitly, not buried in assumptions.
Debt Structure Risk (LOW | financing risk)	The Bend is financed the opposite of the deals that got into trouble last cycle. Those failures shared three traits: high leverage, floating rates, and short-term maturities. This loan is fixed at 5.84% for a full 5-year term matching the hold period, at conservative 75% LTV / 66.32% LTC, with 60 months of interest-only. No rate cap expirations, no refinance risk inside the hold, no margin calls. Year 1 DSCR of 1.33x provides substantial coverage headroom.

The risk premium embedded in this acquisition, a new Class A asset trading at a significant discount, while stabilized peers lease up around it is the mechanism through which above-market returns are generated.

FAQ — Part I

Elkstone Capital

Register Investment

FOCUSED CAPITAL

How are distributions processed?

Distributions are paid through our Investor Portal. Link your bank account in your portal to receive timely distributions directly. Quarterly cash distributions are targeted beginning Q1 2027.

What is the minimum investment amount?

The minimum investment is $100,000. Average investment amounts on prior deals have been $250,000, ranging up to $1M+.

What are the projected returns?

The deal projects a 17.08% LP IRR and 2.06x equity multiple over a 5-year hold, based on a 5.60% exit cap rate. Average LP cash-on-cash is projected at 8.19% annually. These are projections, not guarantees.

When does the hold period begin, and when is the target exit?

The hold period begins at closing (targeted October 10th, 2026). The target disposition is Year 5 (2031–2032).

What are the fees?

Acquisition Fee: 1.5% | Asset Management Fee: 2.0% of EGI | Disposition Fee: 1.0% | Loan Fee: 0.60%

FAQ — Part II

Can I invest with my self-directed IRA or other retirement account?

Yes! We can process investments through a variety of self-directed retirement accounts (SDIRA). Contact our investor relations team for details on how to structure your investment through your retirement account.

What are the potential tax benefits?

The Bend is structured to provide potential Year 1 tax benefits through accelerated depreciation (75-80%) and K-1 losses that may be used against passive gains or passive income. Additionally, the property's $475,000/year tax abatement runs through 2040, providing structural NOI support. Each investor's tax situation is unique — consult your tax advisor.

Is there a GP co-invest?

Focused Capital, Elkstone Capital, and their principals invest approximately 10% of the equity alongside investors and personally guarantee the debt.

How will I receive updates on the investment?

Regular updates will be delivered via email, through the Investor Portal, and via quarterly reporting. Annual K-1s are delivered by March 15th each year.

What happens if I have more questions?

Reach out directly to Mitchell Rice at Mitch@ElkstoneCapitalPartners.com or (208) 260-2570. You can also schedule a call directly using the link on the next slide.

Elkstone Capital

Register Investment

FOCUSED CAPITAL

Next Steps

Ready to Learn More?

Investor Portal Link
https://elkstonecapital.cashflowportal.com/offering/

Schedule a Call
https://calendly.com/cremitchrice/investment-call

Contact
Elkstone Capital Investor Relations Team

Email: Mitch@elkstoneCapitalPartners.com

Phone: (208) 260-2570

www.ElkstoneCapitalPartners.com

Milestone	Timing
Investor Registration	Now Open
Funding Deadline	October 5th, 2026
Targeted Close	October 10th, 2026
First Distribution	Q1 2027
Target Exit	Year 5 (2031–2032)

This presentation is for informational purposes only and does not constitute an offer or solicitation to purchase securities. Investment open to Accredited Investors only under Reg D 506(c). Please review the full Private Placement Memorandum before investing.